



Qualification Programme Examination Panelists' Report

Module 11 – Financial Reporting (December 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case question related to a private fitness centre and focused on various practical accounting issues such as information technology ("IT") initiatives, intra-group leasing transactions, and eligibility in adopting the Small and Medium-sized Entity Financial Reporting Framework ("SME-FRF") to prepare financial statements. This case question assessed candidates' logical thinking and analytical skills balanced with computations—for example, how to calculate the non-controlling interest balance in a group as well as how to prepare the consolidated statement of changes in equity. Candidates' performance was generally satisfactory.

Specific Comments

Question 1 – 17 marks

This question required candidates to prepare a report advising on how the costs to implement various IT initiatives should be accounted for.

Question 1(a) assessed candidates' ability to evaluate whether the cloud computing arrangement in question contained a lease in accordance with HKFRS 16 *Leases* and included an intangible asset with reference to HKAS 38 *Intangible Assets*.

The question required candidates to identify the key issue from the hints provided in the case background. Candidates demonstrated good knowledge in evaluating whether such a cloud computing arrangement contained a lease. Candidates, in general, started with the definition of a lease in HKFRS 16 and logically identified the key issue as to whether the company in question has the right to control the use of the asset. Some candidates even homed in on the sub-issue in relation to whether the company could direct the use of the asset. However, candidates still demonstrated weakness in using appropriate fact(s) in the case to support their arguments. There were various pieces of information provided in the case, but many candidates did not pick the appropriate facts to support their arguments. Some candidates copied all the facts from the case without appropriate analysis, which yielded no credit. Candidates are therefore advised to understand both the requirements in the financial reporting standards and the fact patterns to critically analyse the issues.

Candidates were unexpectedly weak in HKAS 38. Many candidates discussed whether the cloud computing arrangement was separable or arose from a contract (and was therefore identifiable), which was not the key issue in this case. Candidates were expected to discuss the fundamental control concepts in HKAS 38 and argue whether such costs could be treated as an asset. This highlighted the importance of identifying the key issue correctly in a scenario, which is an important part of critical analysis. Those candidates who missed the "control" issue were very likely to arrive at the wrong conclusion as to how the subscription fees should be accounted for.

Question 1(b) assessed candidates' ability to analyse how the website development costs should be dealt with. While candidates were able to identify that such a website qualified as an internally generated intangible asset, they again demonstrated weakness in understanding the accounting treatments in relation to intangible assets. The key issue here should have been whether the website could generate probable future economic benefits as highlighted in Hong Kong (SIC) Interpretation 32 *Intangible Assets – Web Site Costs*. Those who referred to this interpretation were able to draft their answers logically and arrived at the correct conclusion.

Question 1 also assessed candidates' core enabling competencies, which is a key feature in the Qualification Programme. Specifically, it assessed candidates' analytical and communication skills. In general, candidates demonstrated average performance in terms of analysing the accounting issues and presenting their answers in a structured way.

Regarding analytical skills, it was good that candidates attempted to start with the relevant requirements in the financial reporting standards (such as the definition) for each of the issues and tried to use the facts in the case as evidence to support their arguments and to draw conclusions. Those who performed well identified the sub-issue(s) for a step-by-step analysis. Candidates are reminded that such critical thinking process is crucial in analysing most of the accounting issues. As mentioned above, candidates are also reminded to identify the key issues correctly. One suggestion is to understand the requirements in the financial reporting standards and the fact patterns carefully before attempting to analyse the accounting implications in the given scenario.

Regarding communication skills, the question required candidates to prepare a report. Only a few candidates wrongly used the format of drafting a memorandum in this question. Candidates are again reminded that simply including the typical format of a memorandum (with the addressee, date, and subject, etc.) does not properly address the requirements of this question. Furthermore, candidates are reminded to present their answers in an appropriate format and structure, which usually requires an introductory paragraph defining the purpose of the document.

A proper report should help readers grasp the key discussions points easily; therefore, proper use of headings was expected. Candidates should have at least used headings to highlight the two main discussions in the report (i.e., cloud computing costs and website development costs). Ideally, such use of headings should be extended to sub-issues within a long discussion. For example, in the first issue in relation to cloud computing costs, candidates could have further made good use of headings to highlight the discussions relating to whether it contains a lease under HKFRS 16 and whether it includes an intangible asset under HKAS 38. Candidates who attempted this question as if it were a traditional examination question, labelling the answers as "Part (a)/Question 1(a)" and "Part (b)/Question 1 (b)" without an introductory paragraph and proper use of headings, yielded no credit for communication skills.

In general, candidates are advised to seriously learn from their workshop under the Qualification Programme and carefully read the assessment rubrics for the core enabling competencies in their workshop. This would allow candidates to clearly understand the requirements that are applicable in written examinations.

Question 2(a) – 13 marks

This question required candidates to tackle an intra-group leasing transaction and assessed candidates' knowledge of HKFRS 16, HKFRS 10 *Consolidated Financial Statements*, HKAS 16 *Property, Plant and Equipment*, as well as HKAS 40 *Investment Property*.

The first two parts of Question 2(a) were very straightforward, requiring candidates to prepare journal entries of a leasing transaction involving a property from the perspectives of both the lessor (parent) and the lessee (subsidiary). The lease transaction was a very simple one. Surprisingly, candidates appear to not have mastered the basic accounting treatments well. Candidates did not correctly apply the fair value model of investment property under HKAS 40 and mixed it up with the revaluation model under HKAS 16. Some candidates were not aware of the single model in HKFRS 16 for a lessee, which requires capitalisation of the lease payments on the statement of financial position as a right-of-use asset and puts it as rent expense instead. Performance in this part was disappointing.

The last part of Question 2(a) required candidates to perform elimination for the intra-group transaction. Candidates demonstrated very weak performance in consolidation adjustment journal entries. Some candidates simply repeated the journal entries they prepared in the company level financial statements, while some even adjusted cash, which was clearly irrelevant from the group's perspective. Furthermore, quite a number of candidates were not aware of the reclassification of the property from the parent's perspective to the group's perspective, though the question guided the candidates to think towards this direction. Candidates are suggested to understand thoroughly the mechanics of consolidation adjustment journal entries, as group accounting is a key area in the Module 11 examination.



Question 2 (b) – 4 marks

This question required candidates to tackle a transaction involving further acquisition of shares of an existing subsidiary under HKFRS 10. Candidates' performance was satisfactory. Some candidates, however, mixed up the accounting treatments of a business combination achieved in stages, changing an associate to a subsidiary, and the context in this question, which involved no change in the status as a subsidiary, and therefore failed to reach the correct conclusion.

Question 2 (c) – 7 marks

This question required candidates to prepare a consolidated statement of changes in equity for the group. Performance varied. Some candidates either left this part blank or were not aware of the format of such a statement. It was pleasing, however, to see that more candidates demonstrated skills in reconciling the beginning and the ending balances in such a statement.

Question 3 – 9 marks

This question assessed candidates' awareness of the size tests in the Hong Kong Companies Ordinance so as to make a conclusion as to whether the financial statements of the companies in the group could be prepared under the SME-FRF.

This question was straightforward, and the eligibility requirements are standard textbook materials. However, many candidates left this question blank. Those who attempted the question did not distinguish between a larger "eligible" private company and a small private company, which led to the wrong assessment of the companies in question. Furthermore, candidates were weak in tackling a "mixed" group when evaluating the eligibility of adopting the SME-FRF for the consolidated financial statements.

The SME-FRF is seldom tested in the examination; however, candidates are advised to be familiar with the examination scope when they prepare for the examination and make good use of the learning pack materials during the examination instead of simply giving up on questions which are relatively straightforward.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding as well as their ability to apply their knowledge to specific situations that are commonly seen or emerging in practice.

In general, candidates were able to understand the requirements of the questions and identify the applicable standards that could be relevant; although, there were also cases where the answers did not address specifically the area(s) that were explicitly asked.



Candidates who scored high marks were able to present their answers logically and succinctly in response to what was required, with their answers being supported with precision from the relevant financial reporting standards requirements.

Candidates are encouraged to think more widely, especially regarding questions that are open ended or when the answers are not necessarily straightforward "yes or no", and to express their views more explicitly.

In general, performance in this section was less than satisfactory.

Specific Comments

Question 4 – 15 marks

This question required candidates to discuss whether they agreed with management's view as to whether it was a change in accounting estimate, accounting policy, or an error, as well as whether their proposed accounting treatments were acceptable under three different scenarios. Most of the answers should have been identifiable from the learning pack material or the respective standards themselves.

Those that scored high marks were able to identify the issues and addressed them with technical support in a succinct manner. However, some candidates were not aware of there being multiple points to be covered in each scenario. Many addressed the question appropriately, but some appear to have misunderstood the question by talking about fair value, cost model of inventories or machineries, etc., which were not relevant. It was also not clear in some of the answers what the candidates agreed or disagreed on, or whether they agreed at all.

Regarding the scenario on inventory, it was a question of whether the change of cost formula from FIFO to weighted average was a change in accounting estimate or a change in accounting policy, and then whether standard cost could be applied in estimating costs. While many identified the change in cost formula as a change in accounting policy, some candidates were not aware of standard cost being one of the techniques of estimating cost mentioned in HKAS 2 *Inventories*, or they simply addressed part of the question.

In respect of machineries, performance was fair, with some candidates mixing up whether it was a change in accounting estimate or accounting policy. Some jumped right into commenting on revenue-based depreciation, while some appear to have not been aware of the requirements about revenue-based depreciation despite it having been explicitly set out in the standard or the learning pack material.

As for current tax, many candidates jumped right into discussing whether it is an adjusting event with a presumption that it must be an error, when in practice there could be a possibility of this being a change in accounting estimate. Some discussed the classification of the underlying financial instrument itself under HKFRS 9 *Financial Instruments*, which was not relevant.

Overall, performance on this question was less than satisfactory.



Question 5(a) – 12 marks

This question required candidates to advise on the accounting treatment of exchange differences arising from a foreign currency intercompany loan at a company and consolidated level under HKAS 21 *The Effects of Changes in Foreign Exchange Rates*, which was supposed to have been straightforward.

For candidates that managed to score high marks, their answers were direct and focused on the required accounting treatment with proper technical support.

However, many candidates lost marks due to misreading the question and addressing instead points not asked—e.g., classification or measurement of the loan under HKFRS 9 *Financial Instruments*; the current/non-current classification of the loan; treatment on initial recognition as opposed to year-end closing; or treatment of interest expense on whether it satisfies the criteria for capitalisation under HKAS 23 *Borrowing Costs* etc.

Some candidates demonstrated a lack of awareness regarding the requirements about net investment in foreign operations and were not aware that the related exchange difference in the case would not be eliminated on consolidation.

Again, some candidates were silent on whether they agreed/disagreed with management's comments and in what aspect.

Performance on this question was not satisfactory.

Question 5(b) – 8 marks

This question required candidates to advise on the potential financial statements implications as a result of climate change. The question was open-ended and needed the candidates to be able to consider widely ramifications to the business environment as well as the business of the group so as to arrive at what would happen to the group's financial statements.

Climate change is a recent hot topic in the market. Although the term might be new, most of the business or financial implications are not. This question was virtually equivalent to asking about the financial implications of the flood to the group and its business environment. Most candidates were able to identify impairment of PPE and write-down of inventory as potential implications, although marks were lost by candidates that did not elaborate on how that would be relevant to the group.

Some candidates misread the question and talked in detail about ethics/ESG reporting, which were not relevant in this case.

Performance on this question was poor.



Question 6 – 15 marks

This question required candidates to advise if they agreed with management's proposed classification and accounting treatment of a long-term borrowing plus the relevant transaction costs upon the restructuring of the terms (i.e., modification) after the end of the reporting period.

For those that attempted to answer the question, many were able to address whether the loan should be classified as current/non-current with good support, although some seemed to have mixed up the periods or merely focused on discussing whether it was an adjusting event.

On the other hand, not many were able to demonstrate an awareness of the requirements under HKFRS 9 *Financial Instruments* in respect of modification, including how to assess whether the modification was substantial and the resulting accounting treatment of the financial liabilities and related transaction costs.

Again, some misread the question and focused on discussing whether the borrowing should be measured at amortized cost or fair value – which was not relevant to the question asked.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was less than satisfactory.

Module 11 focuses more on the application of financial reporting knowledge in realistic professional settings and requires candidates to exercise professional judgment in evaluating accounting issues within the examination scope to provide advice on the most appropriate treatment.

While there may not have been many significant changes to financial reporting standards in recent years, candidates are expected to be aware of contemporary business issues (such as cloud computing costs and climate change in this examination diet) and apply their technical knowledge as to how such transactions should be accounted for or how they could impact financial statements. Candidates should also be aware that contemporary accounting issues typically involve application of a wide number of financial reporting standards and that answers may not be black and white. Candidates need to know when they have to obtain additional information before reaching a conclusion, under which they have to think broadly with reference to the business case in practice as well as the framework provided in the financial reporting standards.

Candidates are also suggested to further polish their analytical skills to identify the correct issue(s) in a case setting, understand clearly the question requirements and the financial reporting requirements in the accounting standards, utilise fully and appropriately the fact patterns provided in the case, and make conclusions accordingly. In addition to the conclusions made, it is also important that candidates demonstrate an understanding of how the answers are arrived at with clear articulation of which areas are being addressed.